ECONOMY.
INSIGHTS.
OPPORTUNITIES.

FRPD
Navigating Pakistan Economy

SUMMER 2026
ISSUE 01

PAKISTAN ECONOMIC OUTLOOK

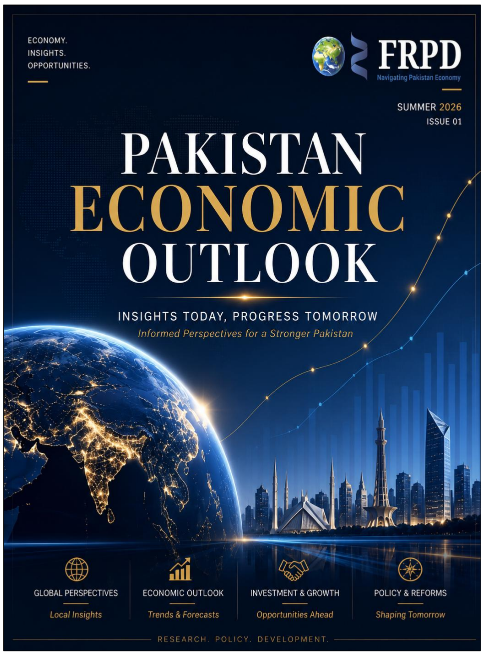
INSIGHTS TODAY, PROGRESS TOMORROW

Informed Perspectives for a Stronger Pakistan

GLOBAL PERSPECTIVES	ECONOMIC OUTLOOK	INVESTMENT & GROWTH	POLICY & REFORMS
Local Insights	*Trends & Forecasts*	*Opportunities Ahead*	*Shaping Tomorrow*

RESEARCH. POLICY. DEVELOPMENT.

Contents



Firm of Research, Policy and Development - FRPD
Firm of Research, Policy and Development (FRPD) is a premier organization established in 2018 dedicated to advancing multidisciplinary research, offering cutting-edge training, and driving policy innovation globally.

EDITOR'S LETTER

Director's Message

"Transforming economic evidence into insights, policy, and a clearer vision for Pakistan's future."

The Editorial Board

The FRPD Monthly Magazine, a platform dedicated to sharing meaningful research, policy insights, development perspectives, and emerging ideas that contribute to informed decision-making.

It gives me immense pleasure to present the latest edition of the **FRPD Monthly Magazine**, a platform dedicated to sharing meaningful research, policy insights, development perspectives, and emerging ideas that contribute to informed decision-making.

As we move forward, FRPD remains committed to strengthening its role as a center for **research, innovation, policy analysis, and professional development**. We are grateful to our researchers, contributors, partners, and readers whose support continues to make this journey meaningful.

I invite you to explore this edition and join us in building a culture where knowledge drives policy, research inspires action, and development creates lasting impact.

Director
Firm of Research, Policy and Development (FRPD)

FROM THE EDITOR

Dr. Shakeel Shahzad
Director & Editor-in-Chief, FRPD

Econometricians, Data Scientist, Researcher and Policy Analyst with a focus on economic policy, governance, and sustainable development.

FRPD PURPOSE

FRPD is committed to producing **evidence-based research, policy analysis, and development insights** that help decision-makers understand economic challenges and identify practical solutions. Through reliable data, innovative research, and forward-looking analysis, FRPD aims to contribute to **sustainable economic growth, inclusive development, and informed public policy in Pakistan**.

The editorial standard

- **Evidence-Based** — Reliable research and credible sources
- **Objective & Balanced** — Independent and fair perspectives
- **Clear & Accessible** — Simple, concise, reader-friendly content
- **Impact-Oriented** — Insights that support better policy and development

4
Core lenses
Research → Policy → Development → Innovation.

1
Editorial purpose
Help readers make better decisions with clearer context.

NAVIGATING ECONOMY

Pakistan Economic Dashboard

The Economy in Numbers Pakistan's Economy at a Glance

Pakistan's economy continued its gradual recovery during FY2025–26, with real GDP growth reaching **3.70%**. Growth was supported by the services sector, while agriculture and industry also recorded positive growth. However, inflation, low investment and the persistent trade deficit remain important challenges for sustainable economic growth.

Key Economic Indicators

Indicator	Latest Figure
Real GDP Growth	**3.70%**
GDP at Current Prices	**Rs 126.87 trillion**
GDP Per Capita	**US$1,901**
Agriculture Growth	**2.89%**
Industrial Growth	**3.51%**
Services Growth	**4.09%**
Investment-to-GDP Ratio	**14.38%**
National Savings-to-GDP	**14.13%**
CPI Inflation	**9.20%**
SBP Policy Rate	**11.50%**
Foreign Exchange Reserves	**US$22.59 billion**
Remittances*	**US$30.3 billion**
Goods Exports*	**US$22.7 billion**
Goods Imports*	**US$50.7 billion**
Trade Deficit*	**US$27.9 billion**

Remittances and trade figures are for July–March FY2025–26. Other indicators are FY2025–26 or latest available 2026 observations.

Sectoral Growth:

Services Lead Economic Expansion

The services sector remained the strongest major contributor to economic growth, expanding by **4.09%** during FY2025–26. Industry grew by **3.51%**, while agriculture recorded **2.89%** growth.

Sector	Growth Rate
Agriculture	**2.89%**
Industry	**3.51%**
Services	**4.09%**
Overall GDP	**3.70%**

FRPD Insight:

Pakistan's growth momentum is increasingly supported by services, but stronger productivity in agriculture and industry remains essential for broad-based and sustainable economic expansion.

Inflation Watch
CPI Inflation: 9.20%

Consumer price inflation stood at **9.20% year-on-year in July 2026**, while prices increased by **1.19% month-on-month**.

Inflation remains a key concern because persistent price increases reduce household purchasing power and increase operating costs for businesses.

FRPD View:

Inflation has moderated significantly from previous highs, but price stability remains essential for protecting household incomes and supporting investment.

Monetary Policy
SBP Policy Rate: 11.50%

The State Bank of Pakistan's policy rate currently stands at **11.50%**.

MONETARY INDICATOR	RATE
POLICY RATE	11.50%
INTEREST RATE CORRIDOR FLOOR	10.50%
INTEREST RATE CORRIDOR CEILING	12.50%

FRPD View:

Monetary policy must balance inflation control with the need to support private investment, credit growth and economic activity.

External Sector:
Pakistan's Trade Gap Remains a Key Challenge

During July–March FY2025–26, Pakistan recorded:

Exports: US$22.7 billion
Imports: US$50.7 billion
Trade Deficit: US$27.9 billion

At the same time, remittances reached **US$30.3 billion**, providing an important source of foreign exchange.

External Sector Snapshot

Indicator	Value
Goods Exports	**US$22.7 bn**
Goods Imports	**US$50.7 bn**
Trade Deficit	**US$27.9 bn**
Remittances	**US$30.3 bn**
Current Account	**US$72 million surplus**

FRPD Insight:

Strong remittances continue to support Pakistan's external position, but reducing the structural trade deficit requires greater export diversification, productivity and competitiveness.

Foreign Exchange Reserves
US$22.59 Billion

Pakistan's total liquid foreign-exchange reserves stood at approximately **US$22.59 billion** in August 2026, including around **US$17.10 billion held by the State Bank of Pakistan**.

FRPD View:

Improved reserve buffers provide greater resilience against external shocks, but long-term reserve strength depends on sustainable export earnings, investment and external-sector management.

Exchange Rate
USD/PKR: 277.50

The Pakistani rupee remained relatively stable around **Rs277.50 per US dollar** at the end of August 2026.

Exchange-rate stability is important for:

- Containing imported inflation
- Supporting business planning
- Improving investor confidence
- Maintaining export competitiveness

Investment
Investment-to-GDP: 14.38%

Pakistan's investment ratio remains relatively low compared with the level required to sustain rapid economic growth.

Why Investment Matters

Investment → Capital Formation → Productivity → Employment → Higher Incomes → Sustainable Growth

FRPD View:

Pakistan's next growth phase requires a shift from short-term stabilization toward higher levels of productive private and public investment.

FRPD ECONOMIC SCORECARD

Area	Assessment
Economic Growth	🟡 Moderate
Agriculture	🟡 Needs productivity improvement
Industry	🟡 Recovery opportunity
Services	🟢 Strong
Inflation	🟡 Needs monitoring
FX Reserves	🟢 Improved
Remittances	🟢 Strong
Exports	🔴 Major challenge
Investment	🔴 Needs acceleration
Digital Economy	🟢 High potential

FRPD TAKEAWAY

Pakistan has made progress toward macroeconomic stabilization, but sustainable prosperity will depend on what comes next: higher investment, stronger productivity, export diversification, human-capital development and digital transformation

MARKETS

Market Analysis

Markets in Focus

Pakistan's financial markets are entering a period shaped by relatively stable monetary conditions, a steady exchange rate and improving foreign-exchange buffers. At the same time, inflation, global energy prices, fiscal pressures and external-sector risks continue to influence investor sentiment.

1. MONETARY POLICY

SBP Policy Rate: 11.50%

The State Bank of Pakistan has maintained the policy rate at **11.50%**, with the interest-rate corridor ranging from **10.50% to 12.50%**.

Indicator	Rate
SBP Policy Rate	**11.50%**
Corridor Floor	**10.50%**
Corridor Ceiling	**12.50%**
Overnight Repo Rate*	**11.00%**

*Latest available observation in the SBP data reviewed.

KIBOR

Tenor	Bid	Offer
3-Month	**11.46%**	**11.71%**
6-Month	**11.55%**	**11.80%**
12-Month	**11.66%**	**12.16%**

27 August 2026.

FRPD Insight

Stable interest rates provide greater certainty for businesses and investors, but sustained investment recovery will depend on inflation, credit conditions and overall economic confidence.

2. PAKISTAN STOCK MARKET

KSE-100: Investor Confidence Under the Microscope

The Pakistan Stock Exchange remains an important indicator of investor sentiment and expectations about corporate earnings, interest rates, economic reforms and external-sector stability.

Market Indicators

Indicator		Latest
KSE-100 Index		**[Month-End Value]**
Monthly Change		**[Update]**
YTD Change		**[Update]**
Market Capitalization		**[Update]**
Average Daily Turnover		**[Update]**

Key Sectors to Watch

Commercial Banks
Interest rates, credit growth and asset quality

Oil & Gas
Global oil prices and exchange-rate movements

Fertilizer
Agricultural demand and gas availability

Cement
Construction activity and infrastructure spending

Technology
IT exports and digital-economy growth

FRPD Market
View Equity-market performance will remain closely linked to macroeconomic stability, corporate profitability, interest rates and investor expectations about structural reforms.

3. CURRENCY MARKET

PKR Remains Relatively Stable

The Pakistani rupee has remained around the **Rs277–278 per US dollar** range in August 2026. On 27 August, SBP's M2M revaluation rate was **Rs277.51 per US dollar**.

USD/PKR

Rs277.51 / US$

Key Drivers

Supporting the Rupee

- Higher foreign-exchange reserves
- Strong remittances
- Current-account improvement
- Improved external financing conditions

Creating Pressure

- Oil imports
- Large merchandise trade deficit
- External debt payments
- Global dollar movements
- Geopolitical risks

FRPD Insight

Exchange-rate stability is positive for businesses and consumers, but long-term currency stability ultimately depends on stronger exports, sustainable foreign-exchange earnings and improved productivity.

4. FOREIGN EXCHANGE MARKET

FX Reserves Strengthen the External Position

Pakistan's total liquid foreign-exchange reserves stood at approximately **US$22.59 billion** as of 21 August 2026, including around **US$17.10 billion held by the State Bank of Pakistan**.

Reserve Position	US$ Billion
SBP Reserves	**17.10**
Commercial Banks	**5.49**
Total Reserves	**22.59**

Market Implication

Higher reserves can:

- Strengthen confidence in the currency
- Improve external-payment capacity
- Reduce short-term external vulnerability
- Support investor confidence

However, reserve accumulation needs to be supported by sustainable export earnings and long-term improvements in the external account.

5. COMMODITY MARKET

Global Commodity Prices Matter for Pakistan

Pakistan remains sensitive to international commodity-price movements because energy and food commodities have a direct impact on imports, inflation and production costs.

Commodities to Monitor

Commodity	Why It Matters
Crude Oil	Import bill & transport costs
Gold	Investment & global risk sentiment
Wheat	Food security & inflation
Rice	Exports & farm incomes
Cotton	Textile industry
Fertilizer	Agricultural productivity

Recent global-market volatility has kept energy prices and geopolitical developments important risks for emerging markets.

6. INVESTOR SENTIMENT

What Are Investors Watching?

🟢 Positive Factors

- Macroeconomic stabilization

- Stable exchange rate
- Improved FX reserves
- Strong remittances
- IT-sector growth
- Policy-rate stability

Watch Factors

- Inflation
- Interest rates
- Fiscal consolidation
- Energy prices
- Global interest rates

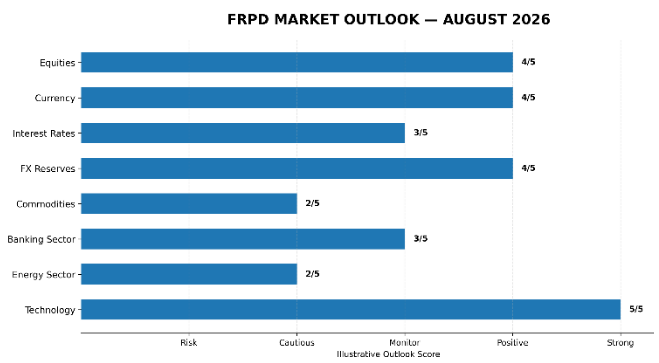
Key Risks

- Geopolitical tensions
- Oil-price shocks
- External financing pressures
- Large trade deficit
- Weak investment
- Global market volatility

7. MARKET OUTLOOK

FRPD Market Outlook

Market	Outlook
Equities	Positive with risks
Currency	Relatively stable
Interest Rates	Stable / Monitor
FX Reserves	Improving
Commodities	Volatile
Banking Sector	Watch
Energy Sector	Risk
Technology	Strong potential



FRPD View

Pakistan's financial markets are benefiting from improved macroeconomic stability, but the sustainability of market gains will depend on economic growth, corporate earnings, inflation, external-sector performance and the pace of structural reforms.

MARKET ANALYSIS — KEY NUMBERS

11.50%

SBP Policy Rate

11.46–11.71%

3-Month KIBOR

Rs277.51

USD/PKR

US$22.59bn

Total FX Reserves

US$17.10bn

SBP Reserves

FRPD TAKEAWAY

Markets reflect expectations about the future. Pakistan's improving external buffers and monetary stability provide a stronger foundation, but sustained market confidence will ultimately depend on higher investment, stronger exports, corporate productivity and continued economic reforms.

ECONOMICS

Research Spotlight

Pakistan's Export Performance:

Why Structural Reform Matters

Pakistan's recurring economic challenge is not simply insufficient exports—it is the **limited transformation of the country's productive and export structure**. The World Bank notes that exports declined from around **16% of GDP in the 1990s to about 10% in 2024**, contributing to Pakistan's recurring external-account pressures.

What Recent Research Tells Us?

Recent research from PIDE and other institutions increasingly points toward **export diversification, productivity, trade facilitation, technology and competitiveness** as central areas for Pakistan's development strategy. PIDE's recent research agenda includes work on Pakistan's export performance, trade and competition, technology cooperation and agro-industrial transformation.

Research Evidence → Policy Challenge

Research Dimension	Key Finding / Issue	Policy Direction
Exports	Export share of GDP has declined over the long term	Export-led growth strategy
Productivity	Low productivity limits international competitiveness	Technology & skills investment
Trade	Tariffs and regulatory barriers raise business costs	Trade & tariff reforms
Agriculture	Limited value addition reduces export potential	Agro-industrial clusters
Technology	Digital services offer new export opportunities	AI & IT-enabled exports

Research Spotlight: A New Development Question

Can Pakistan transform from a low-value export economy into a high-productivity, technology-enabled export economy?

This question connects several emerging research areas: **AI and digital services, export diversification, industrial policy, agro-industrial development, energy costs and trade competitiveness**.

PIDE's *Pakistan Development Review* has recently published research covering **AI/FinTech and banking, trade and competition, agro-industrial clusters, political economy and environmental sustainability**—illustrating how contemporary development research is increasingly interdisciplinary.

FRPD RESEARCH INSIGHT

Pakistan needs more research that moves beyond describing economic problems toward identifying measurable solutions.

The next generation of research should increasingly ask:

What works? → Where does it work? → For whom? → At what cost? → Can it be scaled?

FRPD POLICY MESSAGE

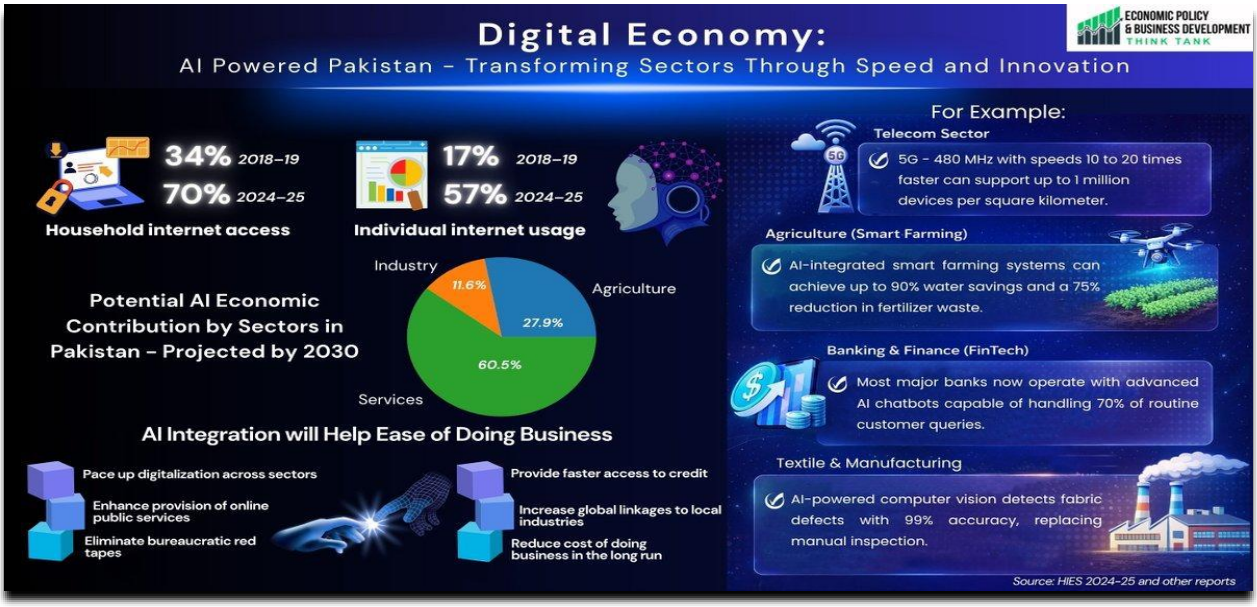
Research should not end with publication. Its ultimate value lies in converting evidence into better decisions, stronger institutions and measurable development outcomes.

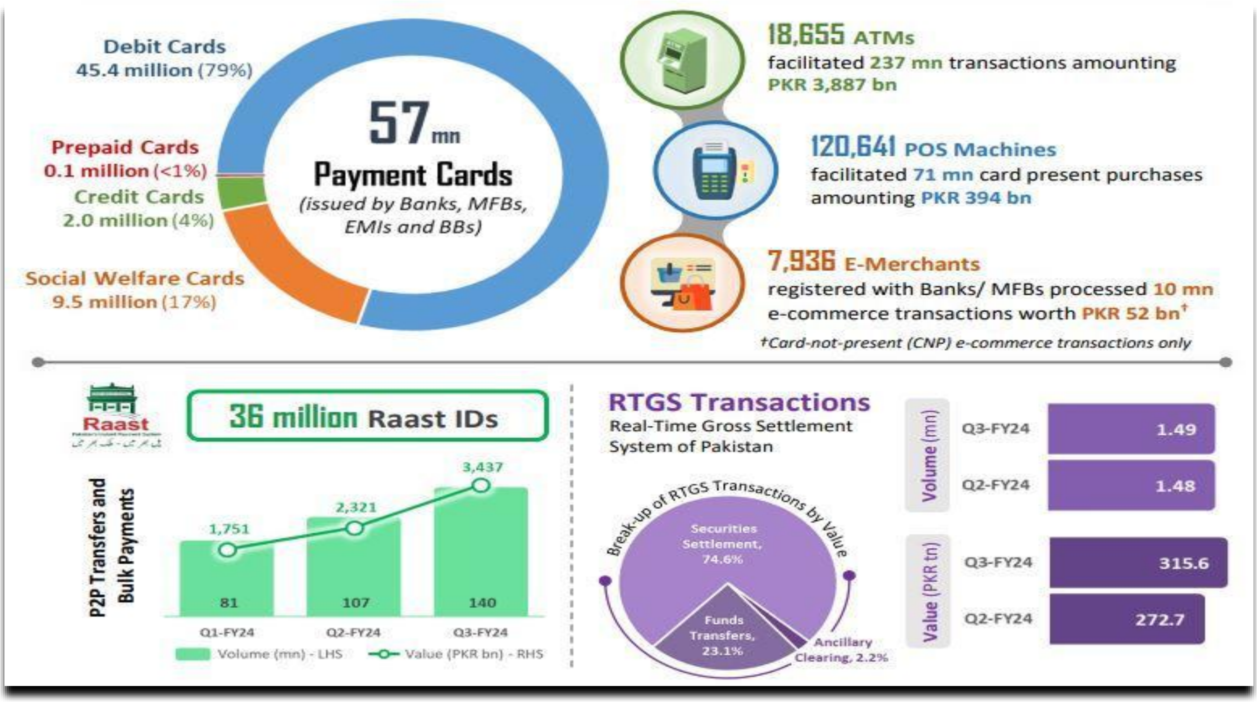
DATA → RESEARCH → EVIDENCE → POLICY → IMPACT

TECHNOLOGY

AI and Digital Economy

Artificial Intelligence & Pakistan’s Digital Economy: From Technology Adoption to Economic Transformation





The New Engine of Pakistan's Digital Economy

Artificial Intelligence is moving from the laboratory into the economy

Artificial Intelligence is increasingly becoming an economic technology—not simply an IT tool. It is changing how firms produce, governments deliver services, financial institutions process transactions, and workers participate in global markets.

Pakistan has now formally entered this AI transition. The **National Artificial Intelligence Policy 2025** establishes a national framework for AI adoption, skills, innovation, infrastructure and responsible use.

The economic opportunity is significant. A 2026 assessment by Public First estimates that AI could potentially add **Rs. 4.4 trillion (approximately US$16 billion) to Pakistan's gross value added**, if adoption expands across businesses and sectors.

Pakistan's AI & Digital Economy: Key Indicators

Indicator	**Latest Evidence**
ICT service exports	**US$2.825 billion**
ICT trade surplus	**US$2.429 billion**
Freelancer remittances	**US$400 million**
ICT companies registered	**30,000+**
Broadband subscribers	**147.2 million**
Total telecom subscribers	**199.9 million**
Potential AI economic contribution	**Rs. 4.4 trillion**

ICT figures: July–March FY2025 / end-March 2025; AI estimate: 2026.

Chart 1 — Pakistan's ICT Export Performance

Pakistan's ICT export performance

ICT service exports and trade surplus during July–March FY2025, in US$ billion.

0B0.75B1.5B2.25B3BICT exportsICT trade surplusFreelancer remittances

Source: Pakistan Economic Survey 2024–25.

From IT outsourcing to AI-enabled exports

Pakistan's digital economy has historically relied heavily on software services, IT outsourcing and freelancing. The next stage is to move toward **higher-value AI-enabled services**, including:

- AI-powered software development
- Data analytics and business intelligence
- FinTech and digital payments
- AI-enabled agriculture
- Health-tech and education technology
- Cybersecurity
- Cloud computing
- AI-based government services
- Exportable AI products and platforms

The opportunity is therefore not merely to **use AI**, but to **produce AI-enabled products and export AI-enabled services**.

Digital Payments, Connectivity & the Economic Transformation

Pakistan is becoming a digital economy—one transaction at a time

Digital payments provide one of the clearest measurable indicators of Pakistan's digital transformation.

According to the **State Bank of Pakistan's FY2024–25 Payment Systems Review**, retail payments reached **9.1 billion transactions worth PKR 612 trillion**, with digital channels accounting for **more than 88% of retail payment transactions**. Mobile banking and e-money applications were major drivers of this transformation.

Table 2 — Pakistan's Digital Payment Transformation

Indicator	FY2024–25
Retail payment transactions	9.1 billion
Retail payment value	PKR 612 trillion
Share through digital channels	>88%
Mobile-app transactions	6.2+ billion
Raast transactions since launch	1.9 billion
Raast transaction value since launch	PKR 44.3 trillion
QR-enabled merchants	1.09 million

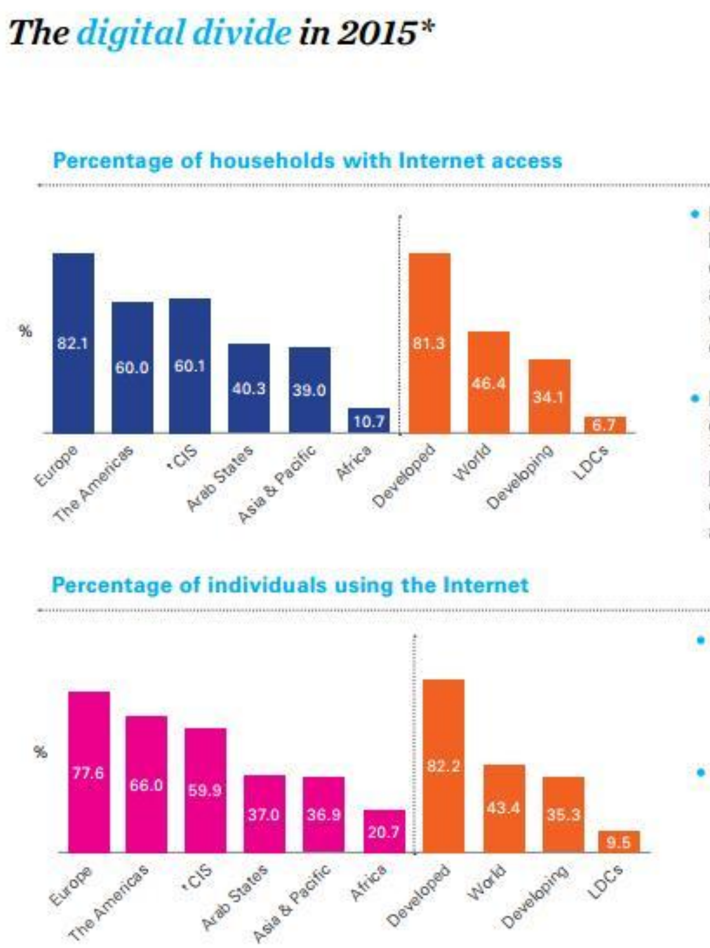
Source: State Bank of Pakistan, Payment Systems Review FY2024–25.

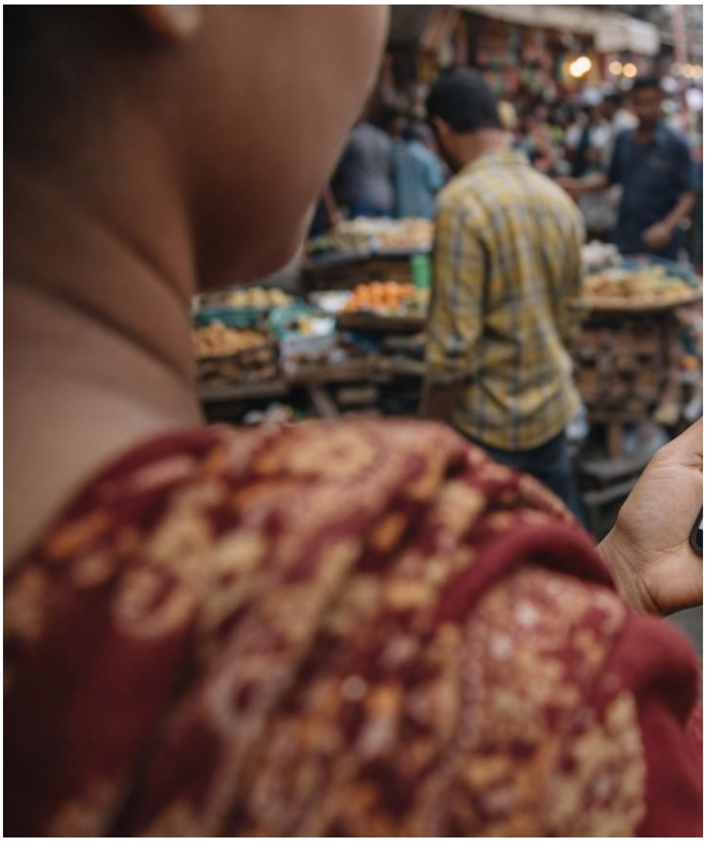
Chart 2 — The Rise of Raast
Raast transaction growth
Quarterly Raast transaction volume and value from Q2 FY2025 to Q2 FY2026.
150Mn300Mn450Mn600Mn750MnQ2 FY25Q3 FY25Q4 FY25Q1 FY26Q2 FY26
Source: State Bank of Pakistan, Payment Systems Review Q2 FY2026.
Raast transaction volume increased from **296 million in Q2 FY2025 to 646 million in Q2 FY2026**, more than doubling over the period.

The Global Digital Divide Remains a Major Challenge

Pakistan's digital transformation must also be viewed within the global context.

The **International Telecommunication Union (ITU)** estimates that approximately **6 billion people—74% of the world's population—were online in 2025**, while **2.2 billion people remained offline**. 5G coverage reached more than half of the world's population, although deployment remains concentrated in higher-income economies.





FRPD Technology Outlook — August 2026

Pakistan's digital transformation will increasingly depend on five interconnected pillars:

01 — AI & Compute
Develop domestic AI capability, computing infrastructure and research capacity.

02 — Digital Infrastructure
Expand affordable broadband, cloud, data centres and 5G-ready infrastructure.

03 — Digital Finance
Scale Raast, QR payments, fintech and digital financial inclusion.

04 — Human Capital
Move beyond basic digital literacy toward AI, data science, cybersecurity and advanced technology skills.

05—Digital Governance
Strengthen data governance, cybersecurity, digital identity and interoperable government platforms. Pakistan's government has already announced a **US$1 billion AI investment ambition by 2030**, including AI curriculum, 1,000 fully funded PhD scholarships and training for one million non-IT professionals.

FRPD Policy Message

The real economic value of AI will not come from technology adoption alone. It will come from productivity growth, higher-value exports, better public services, stronger digital infrastructure and the creation of globally competitive Pakistani technology firms.

This makes AI + Digital Economy an ideal recurring FRPD magazine theme—connecting technology with economics, policy, productivity, employment and exports, rather than treating technology as a purely technical subject.
Key evidence sources: Pakistan Economic Survey 2024–25, State Bank of Pakistan Payment Systems Reviews, Ministry of IT & Telecommunication National AI Policy 2025, ITU Facts & Figures 2025, World Bank Pakistan Development Update, and 2026 AI economic analysis.

DEVLOPMENT

Pakistan Development Review

A Six-Decade Legacy of Development Research

The **Pakistan Development Review (PDR)**, published by the Pakistan Institute of Development Economics (PIDE), was established in **1961**. Over more than six decades, it has become an important platform for empirical and theoretical research on Pakistan's economic and social development. The journal covers areas including **economic growth, trade, agriculture, poverty, finance, labour, environment, technology and public policy**.

PDR's recent research demonstrates the changing nature of Pakistan's development challenges. Its **2025 Volume 64, Issue 1** included studies related to **AI and FinTech, banking performance, trade and competition, agro-industrial development, political violence, and environmental degradation**.

From Economic Growth to Sustainable Development

Pakistan's development agenda is increasingly moving beyond the traditional focus on GDP growth. Contemporary research needs to address the interaction between:

Technology → Productivity → Competitiveness → Employment → Inclusion → Sustainability

This is where development-oriented research such as PDR becomes particularly relevant. Evidence from **econometrics, big data, AI and impact evaluation** can help policymakers identify what works, where it works and for whom.

FRPD Perspective

Priority	Development Question
Productivity	How can Pakistan raise long-term productivity?
Technology & AI	Can AI improve productivity and exports?
Regional Development	Why do development outcomes differ across regions?
Trade	How can Pakistan move toward higher-value exports?
Sustainability	Can economic growth become climate-resilient?

FRPD INSIGHT

Pakistan needs to move from policy based on assumptions toward policy based on evidence. High-quality development research provides the bridge between data, economic understanding and effective public policy.

PROVINCIAL ANALYSIS

Comparison of Provincial Analysis

Punjab • Sindh • Khyber Pakhtunkhwa • Baluchistan

Pakistan's development story is not uniform across provinces. Differences in **education, inequality, infrastructure, human capital and economic opportunities** make provincial-level analysis essential for effective policymaking. The latest **HIES 2024–25** provides a particularly useful evidence base for comparing provincial development outcomes.

Provincial Development Snapshot

Indicator	Punjab	Sindh	KP	Baluchistan
Literacy rate*	**66.3%**	61.8%	55.1%	54.5%
Inequality (Gini), 2024–25	32.0	**35.9**	29.4	26.5
FY2024 provincial surplus	Rs 212.2 bn	Rs 137.6 bn	Rs 56.2 bn	Rs 112.3 bn
Development position	Strong human-capital base	Large economic centre, high inequality	Improving literacy, structural challenges	Lowest literacy, major infrastructure gap

*Literacy figures shown are from the latest comparable Pakistan Economic Survey series available in the cited source; HIES 2024–25 provides the newer provincial survey framework.

Chart — Provincial Inequality, 2024–25

Provincial inequality in Pakistan

Gini coefficients reported for 2024–25. Higher values indicate greater income inequality.

Source: Pakistan Economic Survey 2025–26, Social Protection chapter; HIES 2024–25.

What the Data Tells Us

Punjab demonstrates the strongest literacy performance among the four provinces in the comparable data, suggesting a relatively stronger human-capital base. **Sindh**, despite its major urban and economic centers, records the **highest provincial inequality** at 35.9. **Khyber Pakhtunkhwa** has improved its literacy rate substantially in recent years, while **Baluchistan** continues to face the most pronounced human-capital and access challenges.

Fiscal data also show important differences. In FY2024, all four provinces recorded positive balances, with **Punjab generating the largest surplus (Rs 212.2 billion)**, followed by Sindh (Rs 137.6 billion), Baluchistan (Rs 112.3 billion) and KP (Rs 56.2 billion).

FRPD POLICY INSIGHT

Pakistan needs to move from a "one-size-fits-all" development strategy toward province-specific and region-specific policies.

The priorities should differ:

Punjab: productivity, industrial upgrading & human capital

Sindh: inequality, urban development & infrastructure

KP: education, skills & private-sector development

Baluchistan: connectivity, basic services & human-capital investment

FRPD VIEW

National averages can hide regional realities. A stronger Pakistan requires development strategies that identify where disparities exist, why they exist, and which interventions work at the provincial and district levels.

National Analysis → Provincial Analysis → District Analysis → Targeted Policy → Better Development Outcomes

GLOBAL ANALYSIS

Comparison Of National VS Global Analysis

Understanding Pakistan in the Context of the World Economy

Pakistan's economic performance should not be assessed in isolation. **National analysis** explains domestic conditions—growth, inflation, employment, investment and fiscal stability—while **global analysis** places Pakistan within international economic trends, trade, finance, technology and geopolitical developments.

Pakistan vs Global Economy — Key Indicators

Indicator	Pakistan	World	FRPD Interpretation
GDP, 2025	**US$407.3 bn**	US$118.35 tn	Small share of global output
GDP per capita, 2025	**US$1,596**	US$14,406	Major income gap
GDP growth, 2025	**3.7%**	**2.9%**	Pakistan grew faster
Unemployment, 2025	**5.4%**	**4.8%**	Slightly higher than global level
Inflation, 2025	**3.5%**	—	Significant stabilization from previous years

Source: World Bank World Development Indicators. Pakistan's 2025 figures are compared with the World aggregate.

GDP Growth: Pakistan vs World

Pakistan's growth compared with the world

Real GDP growth in 2025, annual percentage change.

0%1%2%3%4%PakistanWorld

Source: World Bank World Development Indicators, 2025.

National Reality vs Global Opportunity

At the national level, Pakistan has achieved greater macroeconomic stability compared with the severe inflation and balance-of-payments pressures experienced in recent years. However, **3.7% growth remains modest relative to Pakistan's development needs**, particularly given its large population and relatively low per-capita income.

Globally, the World Bank has highlighted a difficult environment characterized by **trade-policy uncertainty, geopolitical tensions, climate risks and relatively weak long-term growth prospects**. The June 2026 *Global Economic Prospects* continues to emphasize the importance of productivity-enhancing investment and structural reforms.

FRPD COMPARATIVE PERSPECTIVE

National Analysis	Global Analysis
Inflation & monetary policy	Global inflation & interest rates
Fiscal deficit & debt	Global financial conditions
Exports & imports	International trade & supply chains
Employment & productivity	Global labor-market transformation
AI & digital economy	Global technology revolution
Provincial disparities	Regional & global development gaps
Climate vulnerability	Global climate transition

FRPD POLICY INSIGHT

Pakistan's economic performance should be judged by two benchmarks: how the country is performing internally, and how quickly it is adapting to changes in the global economy.

The key challenge is therefore not simply "How fast is Pakistan growing?" but:

Is Pakistan growing faster in productivity, exports, human capital, technology and investment than the global economy is changing?

FRPD VIEW

National Analysis → Global Benchmarking → Competitive Strategy → Structural Reform → Sustainable Development

For Pakistan, the next stage of economic policy should connect domestic reforms with global opportunities—particularly in technology, AI, digital services, export diversification, climate finance and regional trade.

OUTLOOK: LOOKING AHEAD

FRPD Policy Recommendation

FRPD POLICY RECOMMENDATIONS FOR PAKISTAN

From Macroeconomic Stabilization to Sustainable, Inclusive and Technology-Led Growth

Pakistan enters the next phase of development with improved macroeconomic stability, but the challenge is to convert **stabilization into sustained productivity and broad-based development**. The Pakistan Economic Survey 2025–26 estimates GDP growth at **3.70%**, with agriculture growing 2.89%, industry 3.51% and services 4.09%. At the same time, the policy environment remains exposed to global energy, trade and geopolitical risks.

FRPD 8-POINT POLICY AGENDA

Priority	FRPD Policy Recommendation	Expected Outcome
1. Growth & Productivity	Shift from consumption-led growth toward productivity, investment and export-led growth.	Higher sustainable GDP growth
2. Fiscal Reform	Broaden the tax base, improve compliance and strengthen expenditure management.	Greater fiscal space
3. Export Transformation	Diversify exports toward IT, AI-enabled services, engineering, value-added agriculture and manufacturing.	Higher foreign-exchange earnings
4. Human Capital	Prioritise education, technical skills, AI, data science and industry-linked training.	More productive workforce
5. Digital Economy	Accelerate AI adoption, digital payments, cloud infrastructure and data-driven government.	Digital productivity & inclusion
6. Energy Security	Reduce energy-sector inefficiencies and expand competitive, reliable and affordable energy.	Lower production costs
7. Regional Development	Develop province- and district-specific strategies based on local economic potential.	Reduced regional disparities
8. Climate Resilience	Integrate climate risk into agriculture, infrastructure, finance and development planning.	Sustainable long-term growth

Pakistan already has an **approved National Artificial Intelligence Policy (2025)**, while a **Data Governance Policy 2026** is currently listed as a draft. FRPD recommends linking these initiatives directly with productivity, public-sector reform, education and export development rather than treating digitalization as a stand-alone technology agenda.

FRPD'S DEVELOPMENT MODEL

Macroeconomic Stability
↓
Investment & Productivity
↓
Technology & Human Capital
↓
Export Competitiveness
↓
Inclusive & Sustainable Growth

LOOKING AHEAD — FRPD VIEW

Pakistan's next economic transformation should move beyond crisis management toward a productivity-driven development model.

The central policy objective should be to achieve **higher-quality growth**—growth that creates productive employment, raises exports, improves human capital, reduces regional disparities and strengthens resilience against external shocks.

FRPD POLICY MESSAGE

“Stabilization is the foundation—not the destination.”

The next decade should be defined by **Productivity + Technology + Exports + Human Capital + Institutional Reform + Climate Resilience**.

FRPD Monthly Magazine | Outlook: Looking Ahead

Research • Policy • Development

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THANK YOU
FOR READING

We hope this edition of the **FRPD MONTHLY MAGAZINE** has inspired ideas, informed perspectives, and encouraged meaningful conversations.

STAY INFORMED.
STAY ENGAGED.
STAY IMPACTFUL.

FRPD remains committed to advancing evidence-based research, promoting effective policies, and supporting sustainable development for a better tomorrow.

See you in the next edition!

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SHAPING POLICY. IMPACTING LIVES.

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